Short Term Rental Feasibility Report

Subject: 192 Lido Drive, St. Pete Beach, FL 33706					
Client: HomeXpress Mortgage Corporation					
Address: 1936 E. Deere Avenue, Suite #200, Santa Ana CA 92705					
Borrower		**Loan Number**	**Order Number**		
Scott		**2000075939**	**264-02718**		
Source	**Proj. Annual Revenue**	**Occupancy Rate**	**Average Daily Rental Rate**	**High Season / Low Season**	**Operating Expenses (yr)**
AirDNA	**$76,200**	**65%**	**$321**	**March/September**	**$27,400**
Rabbu	**$31,799**	**55%**	**$159**	**March/September**	**$9,060**
SHORT TERM RENTAL COMPARABLES					
		Subject Property	**Comparable 1**	**Comparable 2**	**Comparable 3**
Address		**192 Lido Drive St. Pete Beach FL 33706**	**Seaside Solitude**	**Full House Good Vibrations**	**Life's a Beach**
Proximity to Subject			<1/2 mile	<3/4 mile	<3/4 mile
Data Source		Rabbu	Rabbu/AirBNB	Rabbu/AirBNB	Rabbu/AirBNB
# of Units		1	1	1	**1**
Max # Guest		4	6	4	4
Average Daily Rate			$181	$166	$140
Occupancy Rate (%)		56%	13%	63%	50%
Monthly Revenue (Est)			$716/mo	$3181/mo	$2129/mo
Proximity to Attractions		Walking distance to beach/bay	Walking distance to beach/bay	Walking distance to beach/bay	Walking distance to beach/bay
Year Built		1956	Similar	Similar	Similar
Design/Appeal		Bungalow	Bungalow	Bungalow	Bungalow
Above Grade GLA		1245 sf	Similar	Similar	Similar
Basement Area		n/a	n/a	n/a	n/a
# Bedrooms		2	2	2	2
# of Bathrooms		2.0	1.0	2.0	2.0
Property Amenities		None	None	None	None
Management Fees		Unknown	Unknown	Unknown	Unknown
Cleaning Fees			$200	$190	$200

Note – Addresses are hidden by the STR Platforms. Sometimes it is not possible to provide the exact locations of the comps displayed. They are all located in close proximity to the subject property and are similar competing STRs.

Subject and Market Description

The subject is a 2 bedroom, 2 bathroom bungalow within walking distance to the beach/bay front. The subject was not part of an association and none of the amenities associated with larger complexes. The subject was not ocean front or bay front, nor did it have any dock access.

The subject is located in the Belle Vista/Mirabella area of St Pete Beach, FL. The area is accessible via the Delgado Memorial Bridge. The subject's comparable market includes downtown St. Pete Beach and the Sunset Beach portion of Treasure island. Comparables were selected that were similar in design and marketability to the subject.

Rabbu reported information was considered more reasonable and reliable due to the fact that non comparable properties were able to be selected and removed from the calculations. AirDNA figures were provided for reference but given no weight or credence in the analysis.

Purpose

The purpose of this addendum is to provide a comprehensive analysis of the short term rental (STR) income potential for the subject property. Utilizing data from AirDNA, Rabbu, AirBNB, VRBO, and other short term rental/vacation rental sources, an analysis of the property's potential performance as a short term rental. This information was provided to assess the STR market and potential of the property.

The projections provided for the subject property are based on several key assumptions:

- **Historical Data:** The analysis utilizes historical data on occupancy rates, rental rates, and revenue trends from the past 12 months.
- **Market Trends:** The projections assume that current market conditions and trends will continue, including seasonal variations and demand patterns.
- **Comparable Properties:** The data incorporates performance metrics from comparable properties in the area to ensure accurate benchmarking.
- **Occupancy Rates:** Assumes an average occupancy rate of 55%, reflecting typical booking patterns for similar short-term rentals in the region, accounting for variances in high demand and low demand seasons.
- **Rental Rates:** Uses an average nightly rental rate of $159, based on market comparisons and historical performance.
- **Management Efficiency:** Assumes efficient property management practices, including timely responses to bookings and consistent property maintenance.
- **Regulatory Stability:** Assumes no significant changes in local regulations that would adversely affect short-term rental operations.

These assumptions provide a foundation for the revenue projections, ensuring that the estimates are both realistic and reliable for assessing the property's income potential.

Compliance and Regulations

St. Pete Beach strictly regulates short-term rentals (STRs), limiting them to three stays per year in most residential areas. Key requirements include a Pinellas County Certificate of Use, a DBPR Vacation Rental License, and compliance with local zoning, with 13% total lodging taxes applicable.

Key Regulations and Requirements

- **Rental Frequency:** Rentals of less than 30 days are generally restricted to a maximum of three times within a 365-day period in residential zones.
- **Licensing:** Operators must obtain a Business Tax Receipt (BTR) and a DBPR license if renting frequently.
- **Pinellas County STR Ordinance:** Requires a Certificate of Use, which involves a $450 fee and a $150 inspection.
- **Occupancy Limits:** Generally, two guests per bedroom, plus two additional guests, with a maximum of 10 occupants.
- **Taxes:** Owners must collect and remit 13% in total state and county lodging taxes.

Compliance and Enforcement

- **Inspections:** Properties must pass inspections to comply with safety and zoning, with re-inspections required every two years.
- **Violations:** Operating outside these rules can lead to enforcement action by local code enforcement, with some areas actively monitoring for compliance.
- **Zoning:** Rules vary across the 24 municipalities in Pinellas County, with some areas explicitly prohibiting short-term rentals.

Justification for Considering Short-Term Rental Income

- **Market Demand:** The property is located in a high-demand area for short-term rentals, evidenced by strong and competitive rental rates as reported by STR platforms.
- **Income Potential:** Short-term rental income often exceeds that of traditional long-term rentals, providing a higher return on investment. The data for the subject property demonstrates substantial revenue potential, making this income stream a critical component of the investment consideration.
- **Market Comparability:** Utilizing short-term rental income aligns with market realities, where comparable properties are frequently rented on a short-term basis. This comparability ensures a more accurate and market-relevant income earning potential as compared to the traditional long term lease/rental.
- **Flexibility and Utilization:** Short-term rentals offer greater flexibility in property utilization, allowing owners to adjust rental periods and rates based on demand. This adaptability enhances the property's appeal and financial performance.
- **Highest and Best Use:** This report does not offer an opinion or determination regarding the subject property's Highest and Best Use. Please refer to a qualified real estate appraiser who has physically inspected the subject property to determine the Highest and Best Use of the Subject Property. The Analyst's comments and data are based entirely on the information found through online sources, as well as images and comments noted in the original appraisal, and publicly available data reported by local regulatory agencies and public records.

Disclosure

The Short-Term Rental Analysis provided was not an appraisal. Information was compiled and comparables were selected due to similarities to the subject. Real estate knowledge and experience were helpful in selecting good comparables. Presentation of this data and market analysis should not be considered an appraisal.

Research was conducted on/of Short Tern Rental sources, local regulatory rules, laws, and guidelines associated with Short-Term Vacation Rentals via publicly available information and data.

USPAP Compliance Commentary

This disclosure and associated analysis comply with the Uniform Standards of Professional Appraisal Practice (USPAP) to the extent applicable. It should be noted that while the Analyst is a licensed appraiser, the activities performed in this analysis are not considered "appraisal activities" under USPAP definitions. The Analyst has adhered to USPAP's ethical obligations, ensuring transparency, competence, and integrity throughout this engagement. However, since this work is classified as an "analysis" and not an "appraisal," some USPAP requirements applicable to appraisals, such as development and reporting standards specific to appraisal practice, do not apply here. This distinction is critical for regulatory compliance and the accurate characterization of the services provided.

Completed by

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